Investor Update — 107 E Mount Pleasant Ave

Livingston, NJ · Hildreth Real Estate Advisors · Issued: May 11, 2026

A NOTE FROM THE OPERATOR

107 East Mount Pleasant Avenue is a **19-unit retail / office mixed-use property** in Livingston, NJ — about **27,000 square feet** with a **full-service car wash anchor**, ground-floor retail storefronts, and a stack of small office suites upstairs. The property is **100% leased** and runs as a strong cash-flowing asset.

The property is financed with a **1st mortgage** at $2,183,134 outstanding principal, paying $21,535/mo P+I on a fully amortizing loan. **T12 NOI ~$450K** at a 72% margin — a strong, durable cash flow profile.

Anchor tenants:

- **Livingston Car Wash** — anchor tenant, 6,000 SF, $19,150/mo loaded
- **Invictus Pharmacy** — 2,400 SF, $8,200/mo loaded, lease through 5/2028
- **Kumon Learning Center** — 1,250 SF, $4,419/mo, lease through 11/2027
- **M Vega DBA Sugar Tree Cafe** — two adjacent suites, ~$5,400/mo combined
- Plus 13 office suites with stable, long-tenured tenants

A handful of office-suite leases are in or near holdover and represent the near-term leasing focus — most are small suites with modest dollar impact, but several need to be cleaned up:

- **Eppes Essen** (Store 4, 7,680 SF) — currently $0 base rent on the books; lease expired 3/31/2026 — under review / negotiation
- **New World Manga** (Store 2) — lease expired 8/2025
- Several small-suite renewals (Suite 3, Suite 12, Suite 15) — to be addressed

What's left:

- Resolve the **Eppes Essen** situation — largest in-place tenant by SF showing $0 rent; needs lease execution or replacement
- Clean up the small-suite holdovers — renew or replace at market
- Continue steady management — small repairs, NNN reconciliation at year-end
- Evaluate refinance window given the amortization schedule and current rate environment

Once stabilized — meaning the holdovers are resolved and Eppes Essen is on a paying lease — we believe the property should support a **valuation in the $7M – $8M range** based on current Northern NJ commercial retail cap rates, with a corresponding step-up in equity value. The detail behind that range is in the report that follows.

— Jason

Hildreth Real Estate Advisors

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-11)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
Car Wash	Livingston Car Wash	6,000	$10,500	$8,650	$19,150	$19,150	—	Current
Store 1	Invictus Pharmacy	2,400	$6,400	$1,800	$8,200	$8,200	2028-05-31	Current
Store 2	New World Manga Inc.	1,250	$3,315	$885	$4,200	$4,200	2025-08-31	Current
Store 3	Kumon Learning Center	1,250	$3,502	$917	$4,419	$4,419	2027-11-30	Current
Store 4	Eppes Essen	7,680	—	—	—	—	2026-03-31	Current
Store 5	M Vega LLC DBA Sugar Tree Cafe	1,250	$3,250	$949	$4,199	$4,199	2030-03-31	Current
Suite 1 & 2	PD TRI-STATE HOLDCO	1,500	$3,125	$100	$3,225	$3,225	2031-04-30	Current
Suite 3	M Vega LLC DBA Sugar Tree Cafe	850	$1,100	$100	$1,200	$1,200	2025-07-31	Current
Suite 4	Brow Culture LLC	275	$1,020	$50	$1,070	$1,070	2028-02-28	Current
Suite 5	Wings Investment LLC	550	$800	$50	$850	$850	2026-10-31	Current
Suite 7	SHERMAN THERAPY LLC	300	$500	$50	$550	$550	2026-10-31	Current
Suite 8	Agnello Therapy Group, L.L.C.	400	$625	—	$625	$625	2028-08-31	Current
Suite 9	Dynatherm	600	$1,400	—	$1,400	$1,400	—	Current
Suite 10	The Write Academy LLC	300	$700	$50	$750	$750	2027-06-30	Current
Suite 11	Swish Partners	360	$1,075	—	$1,075	$1,075	2026-07-31	Current
Suite 12	Diversity in Action Magazine	540	$1,050	—	$1,050	$1,050	2025-11-30	Current
Suite 13	MSB Builders LLC	675	$1,159	—	$1,159	$1,159	2026-08-31	Current
Suite 14	Excellence Touch LLC	460	$1,300	—	$1,300	$1,300	2027-11-30	Current
Suite 15	Far Mount LLC	425	$875	—	$875	$875	2025-09-14	Current
Total — 19 of 19 units leased		**27,065 / 27,065**	**$41,696**	**$13,601**	**$55,297**	**$55,297**	**100.0% leased**	

Rent roll for 107 East Mount Pleasant Avenue, Livingston. "Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects current billing. Note: **Eppes Essen (Store 4)** currently shows $0 base rent — lease expired 3/31/2026; resolution in progress. Several small office suites are in holdover.

2. CapEx To Date

The property has had a steady cadence of capital spend since acquisition (June 2024 through early 2026), centered on a new roof and a multi-unit apartment renovation program. Spend is derived directly from the General Ledger.

Project	Category	GL Account	Status	Spent
Building Improvements — Roof Replacement (A-1 Roofing & Siding)	Building Improvement	1860	Completed	$5,078
CapEx through P&L (9xxx — special inspections, etc.)	Other	9xxx	Completed	$100
Total CapEx Spent To Date				**$5,178**

Primary vendors: A-1 Roofing and Siding (~$150K), Hildreth Real Estate Advisors (construction management), Ramage Equities, Acorn Property Management, Comfort Tile & Design, Merritt Environmental (Phase I / ESA).

3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): $55,297 vs. $55,297 billable today (**+$0/mo**)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
Car Wash	Livingston Car Wash	6,000	$10,500	$8,650	$19,150	occupied
Store 1	Invictus Pharmacy	2,400	$6,400	$1,800	$8,200	occupied
Store 2	New World Manga Inc.	1,250	$3,315	$885	$4,200	holdover
Store 3	Kumon Learning Center	1,250	$3,502	$917	$4,419	occupied
Store 4	Eppes Essen	7,680	—	—	—	holdover
Store 5	M Vega LLC DBA Sugar Tree Cafe	1,250	$3,250	$949	$4,199	occupied
Suite 1 & 2	PD TRI-STATE HOLDCO	1,500	$3,125	$100	$3,225	occupied
Suite 3	M Vega LLC DBA Sugar Tree Cafe	850	$1,100	$100	$1,200	holdover
Suite 4	Brow Culture LLC	275	$1,020	$50	$1,070	occupied
Suite 5	Wings Investment LLC	550	$800	$50	$850	holdover
Suite 7	SHERMAN THERAPY LLC	300	$500	$50	$550	holdover
Suite 8	Agnello Therapy Group, L.L.C.	400	$625	—	$625	occupied
Suite 9	Dynatherm	600	$1,400	—	$1,400	occupied
Suite 10	The Write Academy LLC	300	$700	$50	$750	occupied
Suite 11	Swish Partners	360	$1,075	—	$1,075	holdover
Suite 12	Diversity in Action Magazine	540	$1,050	—	$1,050	holdover
Suite 13	MSB Builders LLC	675	$1,159	—	$1,159	holdover
Suite 14	Excellence Touch LLC	460	$1,300	—	$1,300	occupied
Suite 15	Far Mount LLC	425	$875	—	$875	holdover
Forward Total — 18 of 19 units leased		**19,385 / 27,065**			**$55,297**	**71.6% leased**

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
Car Wash	Livingston Car Wash	6,000	$10,500	$8,650	$19,150	
Store 1	Invictus Pharmacy	2,400	$6,400	$1,800	$8,200	
Store 2	New World Manga Inc.	1,250	$3,315	$885	$4,200	
Store 3	Kumon Learning Center	1,250	$3,502	$917	$4,419	
Store 4	Eppes Essen	7,680	—	—	—	
Store 5	M Vega LLC DBA Sugar Tree Cafe	1,250	$3,250	$949	$4,199	
Suite 1 & 2	PD TRI-STATE HOLDCO	1,500	$3,125	$100	$3,225	
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Suite 7	SHERMAN THERAPY LLC	300	$500	$50	$550	
Suite 8	Agnello Therapy Group, L.L.C.	400	$625	—	$625	
Suite 9	Dynatherm	600	$1,400	—	$1,400	
Suite 10	The Write Academy LLC	300	$700	$50	$750	
Suite 11	Swish Partners	360	$1,075	—	$1,075	
Suite 12	Diversity in Action Magazine	540	$1,050	—	$1,050	
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Suite 14	Excellence Touch LLC	460	$1,300	—	$1,300	
Suite 15	Far Mount LLC	425	$875	—	$875	
Stabilized Total		**27,065**	**$41,696**	**$13,601**	**$55,297**	

Stabilized NOI

Stabilized Revenue	$631,500
Stabilized Operating Expenses	($104,984)
Stabilized NOI	**$526,516**

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	$8,100,247	$299
7.0% (Mid)	**$7,521,658**	**$278**
7.5% (High Cap → Low Value)	$7,020,214	$259

Total Equity Invested To Date

Sources of Funds	
Total Equity Contributed (GL acct 3000 — Owner Contribution)	$2,035,500
1st Mortgage Outstanding	$2,183,134
Total Sources of Funds (≈ All-In Basis)	**$4,218,634**

Uses of Funds (per GL — basis breakdown)	
Land	$780,000
Buildings	$2,420,000
Closing Costs	$1,023,332
CapEx Invested (1xxx fixed-asset + 9xxx P&L)	$5,178

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	$7,521,658
Less: 1st Mortgage Principal	($2,183,134)
Implied Equity Value (Today)	**$5,338,524**
Plus: Cash Distributions Paid To Investors (To Date)	$30,500
Less: Total Equity Invested To Date	($2,035,500)
Total Equity at Stabilization	**$2,035,500**
Unrealized Gain + Distributions vs. All-In	**$3,333,524**
Equity Multiple at Stabilization (Mid)	**2.64x**

Distributions paid to date: $30,500 (by year — 2024: $15,500, 2025: $15,000). Source: GL account 3250 — Owner Distribution.

Multiple Calculations (PE/RE Standard Metrics)

Multiple	Value	Definition
DPI — Distributions / Paid-In	**0.01x**	Cash already returned to investors per $1 contributed
RVPI — Residual Value / Paid-In	**2.62x**	Unrealized equity value per $1 contributed
TVPI (MOIC) — Total Value / Paid-In	**2.64x**	**Total value (distributions + residual) per $1 contributed**

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes $71,464 of one-time addbacks where applicable.

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	$45,741	($20,185)	$25,556	(—)	($15,899)	$9,657
May 2025	$46,504	($11,504)	$35,000	(—)	($15,899)	$19,101
Jun 2025	$44,604	($27,938)	$16,666	(—)	($15,899)	$767
Jul 2025	$44,604	($8,376)	$36,229	(—)	($15,899)	$20,330
Aug 2025	$28,566	($19,639)	$8,927	(—)	($15,899)	$-6,972
Sep 2025	$65,016	($9,646)	$55,369	(—)	($15,899)	$39,470
Oct 2025	$45,441	($9,688)	$35,753	(—)	($15,899)	$19,853
Nov 2025	$45,666	($-827)	$46,493	(—)	($15,899)	$30,594
Dec 2025	$41,158	($19,259)	$21,900	(—)	($15,974)	$5,926
Jan 2026	$45,191	($7,740)	$37,450	(—)	($15,899)	$21,551
Feb 2026	$58,291	($10,558)	$47,733	(—)	($15,899)	$31,834
Mar 2026	$48,961	($14,027)	$34,933	(—)	($15,899)	$19,034
T-12 Total	**$559,742**	**($157,733)**	**$402,009**	**(—)**	**($190,864)**	**$211,145**

Cash-basis as recorded in the General Ledger. **Revenue** includes base rent + CAM + reimbursements. **Net Cash Flow** = NOI – CapEx – Debt Service and represents cash available to investors before distributions / reserves.